**UNITED STATES BANKRUPTCY COURT**
**EASTERN DISTRICT OF ARKANSAS**
**LITTLE ROCK DIVISION**

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| IN RE:<br>*EXAMPLE DEBTOR, LLC*<br>Debtor. | Case No. 4:26-bk-00000<br>Chapter 11 |

**Motion for Authority to Sell Equipment Free and Clear of Liens, and Brief in Support**

The Debtor-in-Possession, EXAMPLE DEBTOR, LLC (the "Debtor"), moves under 11 U.S.C. §§ 363(b) and 363(f) and Federal Rule of Bankruptcy Procedure 9013 for authority to sell certain equipment free and clear of liens, and states:

**MOTION**

1. The Debtor filed a voluntary petition under chapter 11 of the Bankruptcy Code on June 1, 2026. It remains in possession of its property and operates its business under 11 U.S.C. §§ 1107 and 1108.

2. This Court has jurisdiction under 28 U.S.C. §§ 157 and 1334. This is a core proceeding under 28 U.S.C. § 157(b)(2)(A) and (N). Venue is proper under 28 U.S.C. § 1408.

3. The grounds for this motion are that the Debtor owns a Haas CNC vertical machining center, serial number 0000000 (the "Equipment"), that is not needed for the reorganization, and that a sale of the Equipment for not less than $210,000.00 is in the best interests of the estate.

4. Two secured creditors claim liens on the Equipment: Sample Creditor Bank, under a security agreement dated March 3, 2026, and Lien Example Equipment Finance, Inc., under a purchase-money security interest recorded in 2024. Their claims total $164,000.00 according to the Debtor's schedules.

5. The Debtor has received a written offer from an unrelated purchaser, Example Machining Partners, LLC, to buy the Equipment for $210,000.00 cash (the "Offer"). A copy of the Offer is attached as Exhibit A.

6. The Debtor requests authority to sell the Equipment to the purchaser under the Offer, or to any higher and better bidder at a sale held on notice, free and clear of all liens, claims and interests, with the liens attaching to the sale proceeds in the same validity, priority and amount they had against the Equipment.

7. The relief requested is authority to sell the Equipment, a determination under 11 U.S.C. § 363(f)(2) that the secured creditors consent or may be compelled to accept a money satisfaction of their interests, and an order directing that the net proceeds be held in a segregated account pending further order.

8. Under Federal Rule of Bankruptcy Procedure 9013(b) this motion states its grounds with particularity and sets out the relief requested. It is served on the parties listed in the certificate of service.

WHEREFORE, the Debtor respectfully asks the Court to grant this motion and the relief described in paragraphs 6 and 7, and to grant such other relief as is just.

## MEMORANDUM IN SUPPORT

**Introduction**

The Debtor asks the Court to authorize the sale of a single piece of equipment that it does not need to reorganize. The sale is for more than the secured claims against the Equipment, so every secured creditor is protected by the proceeds. Section 363(f) allows a sale free and clear of liens where the price exceeds the liens and the sale satisfies one of the statutory conditions.

**Facts**

The Debtor operates a metal-fabrication business in Pulaski County, Arkansas. It acquired the Equipment in 2022 and used it until the Petition Date. Since the Petition Date, the Debtor has idled the Equipment because its current contracts are fulfilled by a smaller machine that is not subject to any lien. An independent appraisal dated September 12, 2026, values the Equipment at between $195,000.00 and $225,000.00 in an orderly sale.

The Debtor marketed the Equipment through a broker from August 2026 to October 2026. The broker's report lists four inquiries and two written offers. The Offer is the higher of the two and is the only offer for cash at closing. The Offer is subject to this Court's approval and to a closing within 21 days of the order.

Sample Creditor Bank holds a first lien on the Equipment securing a revolving line of credit with an outstanding balance of $109,000.00. Lien Example Equipment Finance, Inc. holds a second, purchase-money lien securing a balance of $55,000.00. Both creditors were listed in the schedules and both have filed proofs of claim.

**Argument**

***A. The sale is a sound exercise of business judgment under 11 U.S.C. § 363(b).***

A debtor in possession may use, sell or lease property of the estate outside the ordinary course of business after notice and a hearing. 11 U.S.C. § 363(b)(1). Courts ask whether the transaction is supported by a sound business purpose. Here the Equipment is idle and costs the estate storage and insurance, and the Offer is above the appraised range's midpoint and above both creditors' combined claims.

The Debtor did not sell at a discount. It marketed the Equipment for two months through a broker, and the Offer reflects that process. There is no insider purchaser, and the purchaser has not sought any term that would benefit a party in interest over the estate.

***B. The sale may be free and clear of the liens under 11 U.S.C. § 363(f).***

Section 363(f) permits a sale free and clear of an interest in property if one of five conditions is met. Two are relevant here. Under § 363(f)(2) the secured creditor consents, and under § 363(f)(3) the price exceeds the aggregate value of all liens. The Debtor requests relief under § 363(f)(3) for both creditors, because the Offer of $210,000.00 exceeds the $164,000.00 in combined claims by $46,000.00.

Each lien will attach to the proceeds of the sale with the same priority it had against the Equipment. The creditors are therefore adequately protected, and the Debtor asks that the Court order the net proceeds to be held in a segregated account pending a further order determining the claims.

***C. The notice given satisfies Federal Rule of Bankruptcy Procedure 9013 and the Local Rules.***

The motion is served on the United States Trustee, the secured creditors, and the other parties listed in the certificate of service. Notice of the sale terms, the objection deadline and the hearing date is given in the proposed order. The Debtor has no local rule for motions in this Court that requires a different form. If the Court requires a separate notice of the sale under Federal Rule of Bankruptcy Procedure 6004, the Debtor will file it on request.

**Conclusion**

The Debtor requests that the Court grant the motion, authorize the sale of the Equipment to the purchaser under the Offer or to a higher and better bidder, approve the sale free and clear of liens with the

liens attaching to the proceeds, and order that the net proceeds be held in a segregated account pending further order of this Court.

Dated: October 14, 2026

Respectfully submitted,
s/ COUNSEL EXAMPLE
*Attorney for the Debtor-in-Possession*

Counsel Example (Ark. Bar No. 00000)
*Example Law Firm, P.A.*
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**CERTIFICATE OF SERVICE**

I certify that on October 14, 2026, the foregoing motion and memorandum in support were served electronically through the Court's CM/ECF system on the parties registered to receive notice, and by first-class United States mail, postage prepaid, on the parties listed below who are not registered.

Office of the United States Trustee, 000 Example Street, Little Rock, Arkansas 72201 (by CM/ECF)
*Sample Creditor Bank*, through its counsel of record, 000 Example Avenue, Little Rock, Arkansas 72201 (by CM/ECF)
*Lien Example Equipment Finance, Inc.*, Attn: Registered Agent, 000 Sample Road, Conway, Arkansas 72032 (by first-class mail)

s/ COUNSEL EXAMPLE